

Country Brief: Sabine

Medium economy, low productivity.

Phase 1 — Ricardo

(one factor: labor)

Labor force: **100** workers

Productivity: cloth = 1.0/worker, wine = 1.5/worker

Your own opportunity cost: 1 wine costs **0.67** cloth foregone.

What can you make more cheaply than your trading partners?

Phase 2 — Heckscher–Ohlin

(two factors: labor + capital)

Labor: **100** Capital: **35** K/L ratio: **0.35**

Good	Your TFP	Labor share	Capital share
cloth	1.1	0.70	0.30
wine	1.0	0.55	0.45
machinery	0.6	0.25	0.75

Factor intensities are the same for everyone: cloth is labor-intensive, machinery is capital-intensive, wine is in between.

Later in the game

- **Phase 3+ (MNCs):** firms that start on your soil — Cloth-C (F3, cloth), Wine-B (F5, wine), Mach-C (F9, machinery). You will also *own* a firm on someone else's soil: its profits are yours, not its host's.
- **Phase 5 (money):** you run your own currency — choose a regime and live with the trilemma.
- **Phase 6 (debt):** you may borrow against future consumption — and you may default.
- **Phase 7 (institutions):** join the WTO, bind your tariffs, and decide whether to back the system.

Country Brief: Bosque

Small textiles powerhouse.

Phase 1 — Ricardo

(one factor: labor)

Labor force: **60** workers

Productivity: cloth = 4.0/worker, wine = 1.0/worker

Your own opportunity cost: 1 wine costs **4.00** cloth foregone.

What can you make more cheaply than your trading partners?

Phase 2 — Heckscher–Ohlin

(two factors: labor + capital)

Labor: **60** Capital: **25** K/L ratio: **0.42**

Good	Your TFP	Labor share	Capital share
cloth	1.2	0.70	0.30
wine	0.8	0.55	0.45
machinery	0.7	0.25	0.75

Factor intensities are the same for everyone: cloth is labor-intensive, machinery is capital-intensive, wine is in between.

Later in the game

- **Phase 3+ (MNCs):** firms that start on your soil — Cloth-A (F1, cloth), Wine-D (F12, wine).
You will also *own* a firm on someone else's soil: its profits are yours, not its host's.
- **Phase 5 (money):** you run your own currency — choose a regime and live with the trilemma.
- **Phase 6 (debt):** you may borrow against future consumption — and you may default.
- **Phase 7 (institutions):** join the WTO, bind your tariffs, and decide whether to back the system.

Country Brief: Llano

Medium economy with strong wine sector.

Phase 1 — Ricardo

(one factor: labor)

Labor force: **100** workers

Productivity: cloth = 1.0/worker, wine = 3.0/worker

Your own opportunity cost: 1 wine costs **0.33** cloth foregone.

What can you make more cheaply than your trading partners?

Phase 2 — Heckscher–Ohlin

(two factors: labor + capital)

Labor: **100** Capital: **80** K/L ratio: **0.80**

Good	Your TFP	Labor share	Capital share
cloth	0.8	0.70	0.30
wine	1.3	0.55	0.45
machinery	0.9	0.25	0.75

Factor intensities are the same for everyone: cloth is labor-intensive, machinery is capital-intensive, wine is in between.

Later in the game

- **Phase 3+ (MNCs):** firms that start on your soil — Cloth-B (F2, cloth), Wine-A (F4, wine), Mach-B (F8, machinery). You will also *own* a firm on someone else's soil: its profits are yours, not its host's.
- **Phase 5 (money):** you run your own currency — choose a regime and live with the trilemma.
- **Phase 6 (debt):** you may borrow against future consumption — and you may default.
- **Phase 7 (institutions):** join the WTO, bind your tariffs, and decide whether to back the system.

Country Brief: Trinity

Large economy, somewhat diversified.

Phase 1 — Ricardo

(one factor: labor)

Labor force: **120** workers

Productivity: cloth = 3.0/worker, wine = 1.5/worker

Your own opportunity cost: 1 wine costs **2.00** cloth foregone.

What can you make more cheaply than your trading partners?

Phase 2 — Heckscher–Ohlin

(two factors: labor + capital)

Labor: **120** Capital: **200** K/L ratio: **1.67**

Good	Your TFP	Labor share	Capital share
cloth	1.0	0.70	0.30
wine	0.9	0.55	0.45
machinery	1.2	0.25	0.75

Factor intensities are the same for everyone: cloth is labor-intensive, machinery is capital-intensive, wine is in between.

Later in the game

- **Phase 3+ (MNCs):** firms that start on your soil — Mach-A (F7, machinery), Mach-D (F10, machinery), Cloth-D (F11, cloth). You will also *own* a firm on someone else's soil: its profits are yours, not its host's.
- **Phase 5 (money):** you run your own currency — choose a regime and live with the trilemma.
- **Phase 6 (debt):** you may borrow against future consumption — and you may default.
- **Phase 7 (institutions):** join the WTO, bind your tariffs, and decide whether to back the system.